



TATA ELXSI

ANALYSIS REPORT



TATA ELXSI

Sector : Information Technology

Tata Elxsi is amongst the world's leading providers of design and technology services. Designs and builds advanced technology products and software for industries like cars, healthcare, media, and communications. The company takes ideas from the drawing board to finished products, handling everything from research, electronics and mechanical design, software coding, testing, to launching them in the market. They specialize in modern tech like AI, IoT, cloud computing, virtual reality, and self-driving systems to make products smarter and more user-friendly

Tata Elxsi Limited - TIF - NSE O5,326.00 H5,405.00 L5,125.00 C5,225.50 -95.00 (-1.79%)
Vol 5.47M



Market Cap

32k Cr

Stock P/E

48.6

High / Low

₹ 7,474 / 4,601

Current Price

5,235

Book Value

₹ 434

Div. Yield

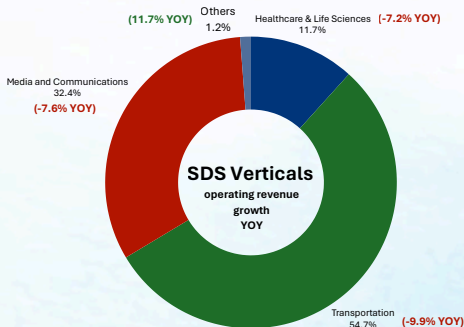
1.45%

Results Snapshot

	YOY	Sep 2025	Jun 2025	Sep 2024
Sales	↓ 4%	918	892	955
EBIDT	↓ 27%	193	187	266
Net profit	↓ 33%	155	144	229
EPS	↓ 33%	₹ 24.85	₹ 23.18	₹ 36.84

Q2 highlights

- Reported Revenue at Rs. 918.1 Cr, **2.9%** QoQ, **-3.9%** YoY
- Set up an exclusive Cloud HIL center in Trivandrum for Suzuki Motors.
- Launches a Global Technology Centre for Medical Devices from Bayer in Radiology
- Won a multi-year deal with a **Japan Headquartered OEM** for advanced system design and simulation
- Won a digital transformation deal with a **US Headquartered Media and Entertainment** company for next generation streaming and audience engagement platform
- Selected for design and development of **advanced airport guidance systems US headquartered Aerospace** supplier



Concall takeaways

Primary Reason for Weak Q2:

- The Jaguar Land Rover Cybersecurity breach - management states
 - "...some of the projects that we were supposed to start in September that had to be pushed out"
 - "without this, we would have shown CC positive growth"

Other reasons hinted from concall

- U.S. auto portfolio reset (ICE vs EV), EV incentive withdrawal, new OEM funding challenges
- Tier-1 supplier destocking
- ₹90 Cr currency gain, but ₹40 Cr employee cost rise + ₹30 Cr other costs

Positives

- 8,000+ Cr pipeline, multiple large deals ramping (Suzuki, Bayer, Mercedes, Japanese OEM)
- Q2 was trough due to ONE-TIME cybersecurity incident (not structural)
- System Integration showing strong growth (+20.5%)
- Capacity Expansion:
 - Changodar: Slightly delayed (monsoon), expected Q3 FY26, +20-25% revenue lift
 - Moraiya: On schedule, 22,000 MVA capacity, Q4 FY26 completion, FY27 ramp-up

Headwinds

- U.S. auto portfolio reset (ICE vs EV), EV incentive withdrawal, new OEM funding challenges
- Healthcare Sector Large regulatory/MDR programs concluded, no immediate replacement
- Media growth (6.8% Actual Cash) from single deal (not sustainable). Management hinted that the growth might be moderated on the next quarter.
- Wage hike is a problem for margin recovery unless the utilisation hits 75% from 70%



Estimates

Metric	FY24A	FY25A	FY26E	FY27E	FY28E
REVENUE	3552.00	3729.00	4,027	4,430	5,006
EXPENSE	2505.00	2755.00	2,975	3,273	3,698
PAT	792.00	785.00	644.37	797.41	1001.19
PAT MARGIN	22%	21%	16%	18%	20%
EPS	108.00	108.00	103.43	128.00	160.70

SCENARIO	P/E	PAT FY28E	MARKET CAP AT FY28	MARKET CAP NOW	POTENTIAL UPSIDE	CAGR 3 YEAR
BEAR CASE	41	1001.19	41,048.86	30,295	35.50	11%
BASE CASE	49	1,001.19	48,057.20	30,295	58.63	16%
BULL CASE	56	1,001.19	55,065.55	30,295	81.76	22%



Disclaimer

This document has been prepared by *Moat Financial Services Private Limited* solely for informational and educational purposes. It does not constitute and should not be construed as investment advice, recommendation, offer, solicitation, or inducement to buy, sell, or hold any securities or financial instruments. The information contained herein does not take into account the specific investment objectives, financial situation, or particular needs of any person. Investors must rely on their own judgment, conduct independent research, and consult their financial, legal, and tax advisors before making any investment decisions. This presentation/research report is based on internal data, publicly available information, and other sources believed to be reliable. While utmost care has been exercised in the preparation of this document, no representation or warranty, express or implied, is made as to the accuracy, completeness, or fairness of the information and opinions contained herein. All opinions, figures, charts/graphs, estimates, and data included are as of the date of issuance and are subject to change without notice. The statements contained herein may include forward-looking statements, which are based on current views, assumptions, and expectations. Such statements involve known and unknown risks and uncertainties that could cause actual results, performance, or events to differ materially from those expressed or implied. Neither *Moat Financial Services Private Limited* nor any person connected with it accepts any liability for any direct, indirect, incidental, or consequential loss or damage arising from the use of this material. Investments in securities, including those under Portfolio Management Services (PMS), are subject to market and other risks. There is no assurance or guarantee that the objectives of any strategy will be achieved. Clients under PMS are not being offered any guaranteed or assured returns. Past performance of the Portfolio Manager or any strategy is not indicative of future performance. The name of any strategy does not in any manner indicate its future prospects or returns. The value of the portfolio may fluctuate depending on market conditions and other factors. Prospective investors are strongly advised to read the Disclosure Document carefully, consider all risk factors (including suitability and financial condition), and seek appropriate professional advice before entering into any PMS agreement. This document is strictly confidential, not for public distribution, and has been furnished solely for information. No part of this document may be copied, reproduced, or redistributed, in whole or in part, in any form without the prior written consent of *Moat Financial Services Private Limited*. Persons into whose possession this document may come are required to observe these restrictions.



Connect with Us

moat
Investments, Simplified!

SEBI Reg No: INP000004482



pms@moatindia.com



Head office

3rd Floor, National Pearl Star,
Behind Changampuzha Park
Metro Station, Edappally,
Kochi, Kerala, 682024



+91 9895590168



www.moatindia.com